

Step 6: When to sell?

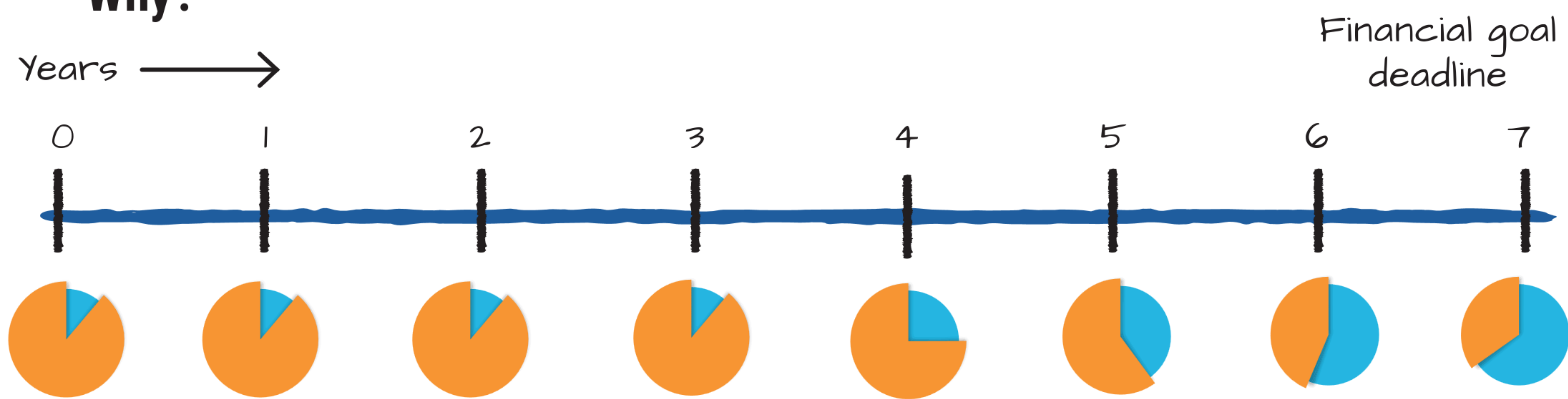
Let's explore some key scenarios when selling makes sense:

1. Rebalancing

If you're investing for a medium or long-term goal and if your investment goal is nearing, then you need to start rebalancing. This means gradually shifting from riskier assets to safer ones.



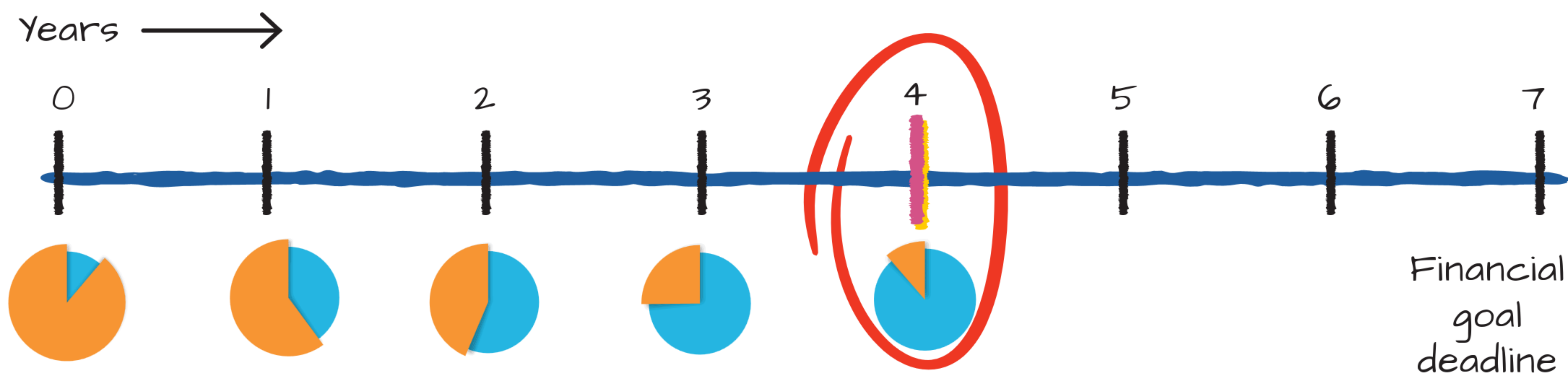
Why?



Gradually shifting to safer assets as approach your financial goal →

To protect the returns you've earned, imagine you're close to your goal, and suddenly, there's a stock market crash! Your average returns drop from 15% per annum to 11% per annum. To avoid such last-minute shocks, gradually start withdrawing your riskier investments as you approach your goal. Parking them in assets like Liquid Funds or RDs is a smart move ensuring protection of your returns.

2. Financial Goal Achieved



If you have achieved your financial goal, it's time to consider selling riskier investments and moving those funds into stable assets. This is especially important if you're very close to your financial target. Doing this prevents any potential losses.

For example, if you aimed to save ₹5,00,000 in 7 years but achieved it in 5 years, you can shift the entire or the majority portion of those funds into safer assets at the end of the 5th year. This locks in your returns, protecting them from any market movements.

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